

Components of Portfolio Return Assumptions

	S&P 500	ITGB
Average (Arithmetic) Return	12.0%	5.3%
<- impact of volatility ->		
Compounded Return	10.0%	5.1%
<- impact of inflation ->		
Real Compounded Return	6.9%	2.2%
<- impact of asset allocation ->		

Portfolio Characteristics Based on Historical Data

50/50 Portfolio Real Arithmetic Return	5.6%
50/50 Portfolio Real Compounded Return	5.1%
50/50 Annual Volatility	10.7%
<- impact of current interest rates ->	
Real Yield on 5-Year TIPS (January 2017)	0.1%

Portfolio Characteristics Adjusted for Current Interest Rates

50/50 Portfolio Real Arithmetic Return	3.5%
50/50 Portfolio Real Compounded Return	2.7%
50/50 Annual Volatility	10.7%

Source: Own calculations from Stocks, Bonds, Bills, and Inflation data provided by Morningstar and Ibbotson Associates, covering 1926–2016. Other potential adjustments suggested to these numbers for real-world investors include for taxes, investment fees, investor over- or underperformance relative to these benchmark indexes, and a desire to have greater confidence than an average outcome.